QUIDEL SECOND QUARTER 2016
CONFERENCE CALL SCRIPT
Wednesday, July 27, 2016
2:00 p.m. PT/ 5:00 p.m. ET

OPERATOR:

Ladies and gentlemen, thank you for standing by.

Welcome to the Quidel Corporation second quarter 2016 earnings conference call. At this time all participants are in a listen-only mode. Later, instructions will be given for the question-and-answer session. If anyone has difficulty hearing the conference, please press *0 for operator assistance.

I’d now like to turn the call over to Mr. Randy Steward, Quidel’s Chief Financial Officer. Please go ahead.

Randy Steward

Thank you, Operator. Good afternoon everyone -- and thank you for joining today's call. With me today is our president and chief executive officer, Doug Bryant and Ruben Argueta, Director of Investor Relations.

Our second quarter 2016 earnings release is now available on ir.quidel.com, our Investor Relations website. We will also post our prepared remarks on the Presentations tab of our IR website following the conclusion of this call, on July 27th, for a period of 24 hours. Please note that this conference call will include forward-looking statements within the meaning of Federal securities laws. It is possible that actual results and performance could differ significantly from these stated expectations. For a discussion of risk factors, please review Quidel’s annual report on Form 10-K, registration statements and subsequent quarterly reports on Form 10-Q, as filed with the SEC.

Furthermore, this conference call contains time-sensitive information that is accurate only as of the date of the live broadcast, July 27, 2016. Quidel undertakes no obligation to revise or update any statements to reflect events or circumstances after the date of this conference call, except as required by law.

Today, Quidel released financial results for the three and six months ended June 30, 2016. If you have not received our news release, or if you would like to be added to the company's distribution list, please call Ruben at 858-646-8023.

For today's call, Doug will report on the highlights of the second quarter and provide updates on our product development pipeline. I will then briefly discuss our financial results and we'll open the call for your questions.

I'll now hand the call over to Doug for his comments.

DOUG BRYANT

Thank you Randy, and good afternoon everyone. For today's call I'll briefly touch on our results and a few highlights for the quarter, and then spend a bit more time outlining our overall strategy and discussing where we are with our key growth catalysts.

Total revenues for Q2 were $39.1 million dollars, slightly better than our internal projections, and a record for Q2. Revenue growth over the prior year quarter was 11%. Influenza product revenues, which were $11 million dollars, grew 21% over the prior year quarter driven mainly by three factors: first, as our Virena data show quite clearly, the tail-off in Influenza B that often marks the end of an Influenza epidemic, and normally occurs in March, extended into early April in a number of states; second, distributor inventories exiting Q1 were low; and third, we gained share as a result of additional Sofia placements over several prior quarters, 65% of which were competitive take-aways. Sofia placements were appropriate for the time of year, and as we expected. And encouragingly, over 1,000 additional Sofias were connected to our Virena cloud-based database in the quarter, and results transmitted in the aggregate to the database exceeded 1 million. As a result of the success with Virena, and the overall capabilities of the Sofia system, we continue to do well in the professional segment. For example, we closed a 90 unit Sofia deal during Q2 in a large prominent integrated delivery network, which is becoming more common as networks look to standardize across hospitals and clinics. A key element to our success in many cases is that customers simply want instant access to their testing and quality control data. The Virena and Sofia product offering also positions us well in the alternate site segment, which we define as anything outside the professional segment. A recent highlight of the alternate site initiative is our largest Sofia close to date, which will require Sofia placements at over 650 sites.

Non-flu product revenues for Q2 grew 8% over the prior year quarter. Except for cell-based general virology products, all key non-flu franchises grew over the prior year quarter. Bone health and complement product revenues were up 57%. Typically this business has been a 10% annual grower for us. The increase this quarter was due to the addition of Immutopics product sales. Molecular product revenues were up 63%. One of the drivers to the increase in molecular product sales is that many Solana Group A Strep customers are now coming on line. During the quarter we closed our largest Solana customer to date, a large integrated delivery network that will be purchasing over $1 million dollars in Solana Group A Strep annually. Thyretain, our Graves' disease product, increased 8%, and is expected to continue to grow at about that rate until we introduce our blocking antibody product sometime next year. Group A Strep Immunoassay sales were up 13%, due in large part to competitive take-aways from visually read point of care products to Sofia. And finally, hCG was up a modest 4%. Also worth noting, international sales in Q2 were up 10% over the prior year quarter, and for the first half of the year were up 26% over the same period in 2015. There were a number of contributing factors to our international sales growth, one of which is that we launched Sofia Strep Pneumo last year.

In terms of product development, there were no surprises, and there are no changes to any previously communicated timelines. If there is a question on any specific product, I would be happy to address it during the Q&A portion of this call. During the quarter, we did receive the CE Mark for Solana Trichomonas, which is also under active review at the FDA. We submitted a 510(k) for Solana Influenza A+B, which is presently under active review at the FDA as well.

And we had a small number of international regulatory approvals for various Sofia products. One final highlight for the quarter is that our newest generation high speed Sofia production line was officially transferred to production, which increases Sofia test cartridge capacity by 20 million tests per year.

So, we're half way through the year, but perhaps more importantly, we've reached the point at which many of the things that we hoped to accomplish are now behind us, and others that we had planned to achieve remain in front of us, but many of those are now in the not-too-distant future. And while our strategic intent, the "what" we want to accomplish is essentially unchanged, the "how," admittedly, has evolved a bit given better information and greater clarity on what our customers need today and what they will need tomorrow, as the healthcare landscape changes and evolves. So at this point, I think that it would be useful to do a quick refresh on what we want to achieve, and how we are going to get it done.

As we've stated often, our strategic intent is to build a broader-based diagnostic company that delivers revenue and margin more consistently. How are we doing that? First, we have used existing resources to fortify price and volume in our core businesses through the development and commercialization of a next generation immunoassay analyzer called Sofia, which among many customer benefits that Sofia has provided, dramatically closed the performance gap between traditional point of care antigen detection rates and molecular methods. And in the process of fortifying our Influenza business in particular, we grew the point of care market through the introduction of an instrument system, and actually gained share in the rapid point of care market for Influenza testing, as well as in the markets for Group A Strep and RSV. Moving forward, we will introduce Sofia 2, with two main objectives. First, we intend to further fortify our position in our core businesses in the professional segment by cannibalizing our QuickVue businesses with a lower cost portable instrument that enables positive test results to be reported in as few as 5 minutes (or fewer depending on the test type), and with built in connectivity to our Virena database, makes it even easier for integrated delivery networks to standardize their higher volume infectious disease testing and to more easily manage quality control across the network. Second, we believe that as healthcare evolves, testing and treatment of routine conditions like Influenza and Group A Strep will eventually migrate in large numbers from the professional segment to what we call the alternate site segment. In that environment, time-to-result, cost and connectivity have already proven to be important criteria, which makes Sofia 2 an obvious choice. Overall, with Sofia 2, we think that we can almost double the number of Sofia placements within the next 3 to 5 years.

The second part of our strategy is to use our capabilities in molecular product development to attack the limitations of the numerous competitors in the molecular space. Every system and approach has its capabilities and limitations, and customer needs vary as well. For customers who don't have molecular instrumentation, or who don't have people on the second or third shift that are trained to work in the molecular lab, we developed AmpliVue, a handheld disposable molecular device for the detection of antigens like C. difficile, HSV, Pertussis and several others.   For customers who would like to move from culture methods to a molecular solution, but would need to run several samples at once and are constrained by their existing lab budget, we developed Solana for the detection of a number of antigens that don't require extraction, like Group A Strep, Trichomonas, Influenza and several others. For high volume molecular labs we've developed easy to use PCR assays called Lyra. And for a part of the world that desperately needs a high performing HIV viral load testing solution that is robust enough to handle the most difficult of environmental conditions, and has a low total cost of ownership, we are developing Savanna. While I won't be discussing our assay development and launch strategy today, what we intend to do with Savanna in the developed world to address the limitations of our competitors will be revealed in some detail for the first time next week during a luncheon presentation on Tuesday in Philadelphia. For those of you who would like to attend and have not yet confirmed their attendance, I would encourage you to reach out to Ruben within the next day or so.

The third part of our strategy to build a broader-based diagnostics company is to forge ahead and lead in the creation of new markets and new businesses. Culturally, we are a group of people that eschews rules and current thinking. We've been questioned on how valuable Virena would be and whether we could actually monetize it. We are evaluating options for further monetizing a data product offering that includes Virena data in the future, but clearly we already have benefited from our investment in Virena in terms of additional Sofia placements and market share gain. We were told by some very smart people that we couldn't develop a Sofia assay for Vitamin D, but we've done it. And we've been questioned on whether the Vitamin D market can be decentralized, but it will be. We've been asked why we developed a Sofia assay for Lyme, which today is a very small, niche, market. The answer is that we developed Sofia Lyme for the market that will be. We've also been told that molecular methods for infectious disease detection are inherently more sensitive. And of course it's logical that in making lots of copies of something, as we do with a molecular assay, it should be easier to detect. But I will leave you with this question. What if it's possible that next generation Sofia 2 assays for Group A Strep, Influenza and others would be sensitive enough to have a confirmatory claim, just as some molecular assays like Solana Group A Strep have? I look forward to hearing somebody tell me that it's not possible and that we can't do it. And just so you know, I'm saying that with a smile.

In summary, Q2 was good. We expected to do well, both from a product development perspective as well as commercially, and we did. And as I said, our strategy has evolved a bit over the last few years due to changes in the market, but also because of our own product development discoveries. But essentially the path we are on has remained the same.

Randy?

RANDY STEWARD

Thank you, Doug.

Second Quarter Financial Results

As we reported earlier today, total revenues for the second quarter of 2016 were $39.1 million dollars, as compared to $35.2 million dollars in the second quarter of 2015.

Global Infectious Disease revenues, which include QuickVue, Sofia, DFA cell culture, and molecular products, increased 14% to $24.2 million dollars in the second quarter of 2016. Influenza revenues, which include Sofia, QuickVue and $2.4 million dollars of DHI Respiratory products, increased 21% to $11.0 million dollars in the second quarter due to a late influenza season demand for both our QuickVue and Sofia assays while, as Doug mentioned, our inventory at distribution remained at very low levels exiting both the first and second quarters.

In the second quarter of 2016, Strep A revenue grew 21% to $8.2 million dollars driven by revenue growth from both QuickVue and Sofia assay products. Solana Group A Strep contributed 6% of the revenue growth in the quarter. RSV total product sales increased 29% to $900 thousand dollars, as we realized continued accelerated growth with the Sofia assay, which grew 64% in the quarter.

Revenues for the Women’s Health category increased 17% in the second quarter of 2016 to $10.7 million dollars. Our Bone Health and Complement business grew 57% to $3.3 million dollars. Forty percent of this growth was organic, with the addition of the Immutopics bone health assays adding an incremental $700 thousand dollars. As Doug mentioned earlier, we believe the Immutopics assays will contribute in excess of $2 million dollars per year to the Women's Health category. In the quarter, Thyretain grew 8% and pregnancy revenues increased 4%.

Our Gastrointestinal product category revenues were $1.6 million dollars in the quarter.

Gross margin in the second quarter of 2016 was equal to last year at approximately 56%. The gross margin improvement we realized in the quarter from product mix was offset by lower production volume in both our immunoassay and molecular manufacturing facilities. Based on our first six months of results, we are estimating the full year gross margin to be in the range of 63% to 64%, and assumes a normal flu season starts in the fourth quarter.

For the second quarter, Research and Development costs were $9.7 million dollars, an increase of $0.6 million dollars, due to increased development spend for the Savanna platform and clinical trials costs for Solana products. We are estimating to have 4 assays running on the Solana platform as we exit this year. For the full year, we still believe that our R&D spending will be in the range of $39 to $41 million dollars.

Sales and Marketing expenses in the second quarter of 2016 were $12.2 million dollars, a 2% increase versus last year. In part, the increase is the result of our continued commitment to Virena, our cloud based instrument management and disease surveillance system.

General and Administrative expenses were $6.7 million dollars in the second quarter of 2016. The 6% increase versus last year was primarily due to business integration costs associated with the acquisition of Immutopics in March of this year.

Our tax rate for the second quarter was approximately 34%, as compared to 31% for the second quarter of the prior year. The major drivers in reporting an effective tax rate different than our statutory rate of 35% are the R&D tax credit, the manufacturing production deduction and the change to our state valuation allowance.

Net loss for the second quarter of 2016 was $7.8 million dollars, or 24 cents per share, as compared to net loss of

$8.9 million dollars, or 26 cents per share, for the second quarter of 2015. On a non-GAAP basis, net loss for the second quarter of 2016 was $3.4 million dollars, or 11 cents per share, compared to loss of $4.8 million dollars, or 14 cents per share for the second quarter of 2015.

Six-Month Financial Results

Revenues for the six month period ended June 30, 2016 were $89.5 million dollars compared to $96.9 million dollars for the six-month period in 2015.

Infectious disease revenues were $60.6 million dollars versus $69.7 million dollars last year. This revenue shortfall was mostly the result of decreased demand for respiratory products in the first quarter of this year. Illustrating this point, for the first six months, influenza revenues decreased by $11.2 million dollars to $31.1 million dollars. On the positive side, Strep A revenues increased by 12%, and RSV revenues increased 23% versus the same period last year. Assisting this growth were the assay sales from our Sofia and Solana instruments. We are pleased to see the continued revenue growth from our Strep A and RSV products. On a trailing twelve month basis, the revenue from each of these assays have achieved their highest revenue numbers; Strep at $31.1 million dollars and RSV at $8.6 million dollars.

The Women's Health segment increased 8% to $19.8 million dollars for the first half of 2016. Growth in this category was led by 27% growth in our Bone Health and Complement business. A little more than half this growth was a result of the Immutopics acquisition at the end of the first quarter of this year. An 8% growth in Thyretain was also a major growth contributor and on an annualized basis, it has grown to be an approximate $10 million dollar product line for us.

In the period, our Gastrointestinal segment was $3.3 million dollars, and our Other Products category was $5.7 million dollars, of which $2.7 million dollars was from the Gates grant.

Gross margin for the first six months of 2016 was 59% compared to 62% over the first six months of 2015. The decrease in gross margin was driven by unfavorable product mix, with lower flu sales. Also contributing to the gross margin decrease was the increased depreciation on the

Sofia instruments as well as lower manufacturing efficiencies due to lower production volumes.

Total operating expenses, excluding amortization of intangibles, for the first six months of 2016 were $60.9 million dollars versus $57.0 million dollars last year. Research and Development increased by $5.2 million dollars, primarily due to an increase in development spend for the Savanna MDx platform, increased spend for our next generation Sofia instrument and clinical trials spend for Solana products. Sales and Marketing expenses increased by $800 thousand dollars due to additional investment in promotional activities for our Virena platform. G&A expenses decreased by $2.2 million dollars, due to 2015 business development expenditures, which did not repeat in the first six months of 2016, as well as the suspension of the medical device tax.

For the first six months of 2016, we recorded $5.6 million dollars of interest expense, of which $2.8 million dollars relates to the cash coupon due semi-annually on the senior convertible notes, and the remainder is primarily the amortization of issuance costs and debt discount.

Net loss for the first six months of 2016 was $11.3 million dollars, or 35 cents per share, as compared to net loss of $4.9 million dollars, or 14 cents per share, for the first six months of 2015. On a non-GAAP basis, net loss for the first half of 2016 was $2.8 million dollars, or 9 cents per share, compared to net income of $6.0 million dollars, or 17 cents per diluted share, for the same period in 2015.

From a cash flow perspective, in the first six months of the year, Operating activities used $2.5 million dollars of cash and purchases of property and equipment were $5.4 million dollars. Through six months, the Company spent $20.1 million dollars to repurchase shares of its common stock. As of the end of June, the company had no outstanding borrowings under its Senior Credit Facility and had $155.6 million dollars in cash on the balance sheet.

And with that, we conclude our formal comments for today. Operator, we are now ready to open the call for questions.

Q&A

OPERATOR

That is all the time we have today. Please proceed with your presentation or any closing remarks.

DOUG BRYANT

Thanks everyone for your support and for your interest in Quidel. We had a great quarter, and I believe that we are well-positioned to achieve our growth objectives. Take care, everyone.

OPERATOR

Ladies and gentlemen, we thank you for your participation, and ask that you please disconnect your lines. Goodbye.